

rising. To resolve this there may be offers from specialist business' that claim to be able to perform this service for users - which is in itself a risk as we have discussed before, trusting others with your Bitcoins is a major danger.

And since Bitcoin isn't like company shares or commodities there are no market indicators that can be used to rationally decide what is the best time to buy or sell Bitcoins for investments. The only indicator that has seen definite results in altering the market is user trust. Whenever users have felt insecure about the validity of Bitcoin, the prices have radically dropped. This was the case when the government of China and India issued warnings against Bitcoin usage, the result was a shocking 30-50 percent drop in value with a very slow and gradual recovery. If any government was to specially endorse Bitcoins, the results are expected to be opposite but there is no legal way to plan for that outcome.

Other influence that can suddenly alter the value of the Bitcoin is its supply. If suddenly a large number of miners or a single large miner devotes great processing power towards Bitcoin and the rate of Bitcoin generation is boosted, the effects can prove volatile for the value. The system is designed for slower mining as time moves forward, but if technological advancements undo this parameter then the fluctuations in value are assured.

The most important thing to realise about Bitcoin and speculation is that unless there is an assured knowledge of what will influence Bitcoin, all trading activities are simply gambling. It is better instead to think of Bitcoin as what it was designed to be - a currency. If someone is not a professional trader in Indian rupees, US dollars, Japanese Yen and other currencies, then it's unlikely they will have the ability or the skill to profit when speculating Bitcoins. It is better to adopt it as an efficient means to conduct online payments and save money on transaction costs. 